

Airbus in Botswana

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Agenda

1. Synthesis of Mid-Term
2. Internal & Competitive Assessment
3. Targeted Segment
4. Recommended Entry Strategy: Strategic Joint Venture
5. Partnership Architecture & Governance
6. Location & Innovation Network
7. Implementation Roadmap
8. Required Capabilities & Investment
9. Risk Prioritization
10. Critical Guidance
11. Business Case & Actionable Recommendations



Synthesis of Mid-Term Insights

- Use AviaDev 2026 (Gaborone, june) to sign and annonce partnership with the Civil Aviation Authority of Botswana (50+ countries and 48+ airlines).
- Legal Shield : best protection Intellectual Property of the region (Property Rights 74.1, Judicial Effectiveness 70.5). Safest option in the region for a capital-intensive manufacturing facility.
- Great score in Fiscal Health (90.4) and Trade Freedom (78.8), low inflation of 2.82%, and educated workforce (79% advanced education)



The strategic pivot: Airbus is shifting from a market-seeking approach to an efficiency-seeking one.

Internal & Competitive Assessment



- Existing footprint : Airbus already operates in Botswana through defence contracts (H125 Police / Super Puma Army) : Established institutional relationship while competitors must build from scratch

- Capability gap to close : Embraer (sold 3 jets to Air Botswana) and Leonardo are converting sales into lock-in via local after-sales. Airbus has the MRO (Maintenance, Repair, Overhaul) and training capabilities at group level to counter this, but has no local deployment yet.
- The competitive lever : A local technical footprint at SSKIA transforms Airbus from distant supplier to ecosystem anchor. For clients, switching costs is structural rather than contractual.

- The strategic implication : Airbus's A220-300 product advantage only becomes durable if backed by a local service presence, which justifies the entry mode choice...



Targeted Segment: Why Helicopters & MRO?

The Choice: Segment focus on MRO (Maintenance, Repair, Overhaul) and Completion (Customization)

Evidence: Highest recurring revenue logic. It fits the local manufacturing limitations (5.55% of GDP) by focusing on high-skill services (79% advanced education).



Recommended Entry Strategy: Strategic Joint Venture



Mode: Joint Venture (JV) with the Botswana Development Corporation (BDC) and CAAB

Why?
Botswana's Investment Freedom is moderate (50.0). Partnering with the BDC grants Airbus "National Project Status," which fast-tracks work permits and land acquisition within the Special Economic Zone.

A 100% subsidiary would be seen as foreign extraction, while a simple Licensing agreement would risk our IP. A JV offers the perfect balance of local legitimacy and corporate control.

Partnership Architecture & Governance



Equity & Responsibility Split:
Airbus (51%) / BDC (49%).

- Airbus Role: Technology Transfer, Global Supply Chain integration, and EASA Certification.
- BDC Role: Local Infrastructure management, Labor Relations, and Government Liaison.

Governance and control mechanisms:

- The Technical Veto: Airbus maintains 100% veto power over safety protocols, maintenance standards, and IP related decisions.
- Judicial Safeguard: Contractual enforcement is guaranteed by Botswana's high Judicial Efficiency score (70.5).

Location & Innovation Network

Local Supply & Maintenance Cluster:

- Integration of regional SMEs for non-critical component supply, reducing overall lead times and building ecosystem resilience.

Strategic SEZ Hub (Gaborone)

- Direct runway access at Sir Seretse Khama International Airport for immediate flight testing and client handovers.
- Leverages SEZ benefits: Corporate tax exemptions, streamlined customs, and zero import duties on critical aviation parts.



BIUST
BOTSWANA INTERNATIONAL UNIVERSITY OF SCIENCE & TECHNOLOGY

Applied R&D Partnership (BIUST University):

- Focus: Engineering adaptations for "Hot, High, and Dusty" African operational environments.
- Goal: Create a continuous feedback loop between local academia and Airbus engineers to improve fleet reliability and reduce wear-and-tear in harsh conditions.

Implementation Roadmap

Strategic Sequencing & Milestones (2026-2028)



Phase 1: Foundation & Certification (2026)

- Secure SEZ land allocation and initiate climate-controlled facility construction.
- Obtain rigorous dual EASA (European) and CAAB (Botswana) site certifications to guarantee global standards.
- Establish the secure Durban-Gaborone logistics corridor.

Phase 2: Operations & Commercial Launch (2027)

- Official MRO facility inauguration timed with AviaDev Africa for maximum industry visibility.
- Commence fulfillment of regional maintenance contracts, targeting fleets across the 16 SADC countries.

Phase 3: Expansion to Completion Center (2028)

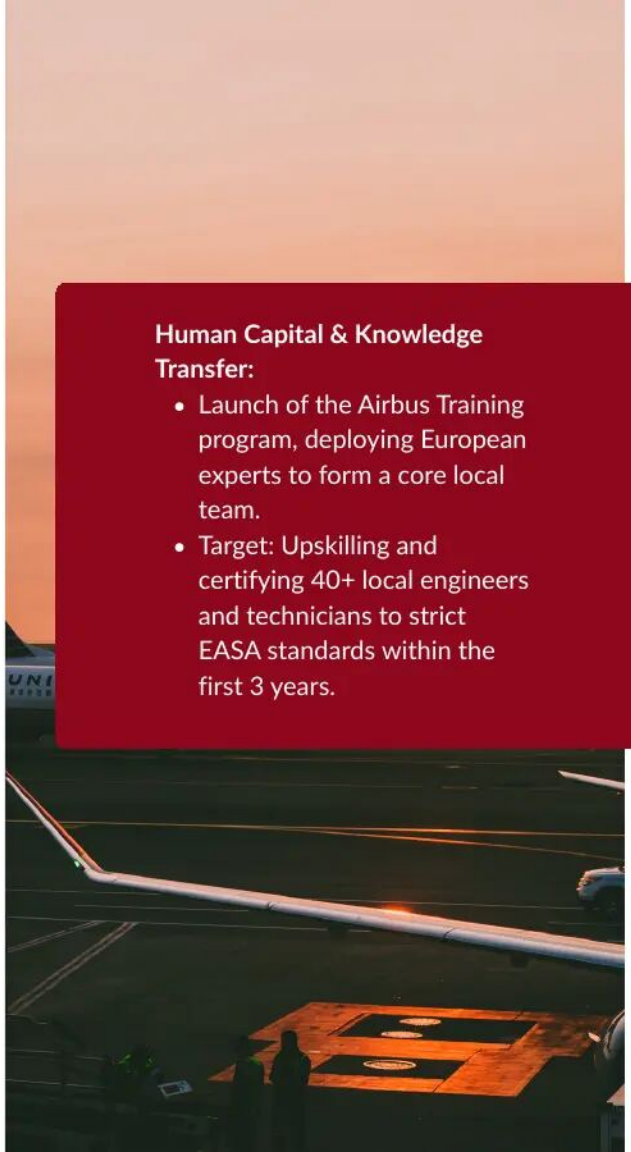
- Strategic transition from maintenance to final assembly.
- Launch the Regional Completion Center: Local customization of Airbus Helicopter kits (medical, VIP, or military configs) to meet specific African client needs.

Required Capabilities & Investment

Financial Commitment ($30M - $35M CAPEX):

- Funds dedicated to the construction of state-of-the-art hangars.
- Procurement of specialized diagnostic tooling, spare parts inventory, and advanced MRO equipment.





Human Capital & Knowledge Transfer:

- Launch of the Airbus Training program, deploying European experts to form a core local team.
- Target: Upskilling and certifying 40+ local engineers and technicians to strict EASA standards within the first 3 years.

Logistics & Supply Chain Security:

- Fast-track supply route from Durban Port directly to the SEZ to avoid cross-border delays.
- Implementation of localized, 3-month buffer stocks for critical avionics to guarantee zero AOG (Aircraft On Ground) delays for our clients.

Sustainability criteria (ESG)



Environmental (E) - Decarbonizing Regional Operations

- Solar-Powered Infrastructure : Leveraging Botswana's high solar irradiance (320+ sunny days/year) to cover 30% of the MRO hangar's energy needs, reducing ground operations carbon footprint.
- SAF Integration: Phasing in Sustainable Aviation Fuel (SAF) for engine testing and maintenance flights, aligning the Gaborone hub with Airbus's "Net Zero 2050" roadmap.

Social (S) - Empowering the Local Ecosystem

- High-Tech Knowledge Transfer : Partnership with BIUST University to certify 50+ local technicians under EASA standards within 3 years, creating a self-sustaining talent pipeline
- Biodiversity Protection: Supporting Botswana's conservation by providing high-readiness maintenance for anti-poaching and wildlife monitoring fleets (e.g., Okavango Delta surveillance).

Governance (G) - Ensuring Ethical Excellence

- Compliance Framework: Implementing Airbus's global anti-corruption standards within the Joint Venture, supported by Botswana's rank as the least corrupt country in the region (Government Integrity 60.1).
- Audit Transparency: Joint oversight with the BDC (Botswana Development Corporation) to ensure all capital flows are transparent and ethical, with quarterly public reporting against IFRS standards.

Risk Prioritization

SUPPLY CHAIN (HIGH P/HIGH I):
Action: 3-month buffer stock of critical avionics in the SEZ.

CURRENCY VOLATILITY (MED P/HIGH I):
Action: Contracts denominated in USD for regional clients.

SKILL GAP (HIGH P/MED I):
Action: Partnership with BIUST for a steady talent pipeline.



PROBABILITY× IMPACT



WHAT AIRBUS SHOULD NOT DO

Critical Guidance

NO HEAVY MANUFACTURING:
Do not build fuselages/wings (lack of local heavy industry).
NO NON-SEZ OPERATIONS:
High taxes and red tape outside the zone would kill the business case.
NO EARLY DIVERSIFICATION:
Focus strictly on Helicopters/MRO for the first 5 years.

Business Case & Actionable Recommendations

Returns:

Break-even in Year 5.

Strategic return: Creating a "Lock-in" effect to facilitate future A220 sales.

Immediate Actions:

Sign Agreement with BotswanaDevelopmentCorporation;

Secure land plot at SSKIA.

Success Factor:

Making Gaborone the "Technical Face" of Airbus in Africa by 2026.



Thank You



Any Questions?